formal loans. Drought proofing 60 million hectares of arable land with the same amount of money would have produced results that are more inclusive.

Mandal Commission recommended reservation for OBCs in Unions educational and employment avenues.

Industry: The Industrial Disputes Act protects less than 10 percent of India's workforce, which means that more than 90 percent of the workers are in the unorganised sector. The public sector has unionised workers with greater bargaining power and the private sector keeps the workers from joining any union and from taking up any labour issues. Indian industry remains capital intensive, resulting in high-level unemployment in the formal sector. Unemployment is steadily rising resulting in informalisation and casualisation of work.

Activity

Discussion on Rights To Information Act

Land acquisition has become a major problem resulting in the displacement of tribals and their land. India's industrialisation is beginning to demand more and more land. Industrial land acquisition needs to be based on the consent of the local people. Acquisition needs to be preceded by compensation and welfare measures that rendered the acquisition of land for industrial purposes as a developmental endeavour. The current laws give the government substantial powers to acquire land. Forced land acquisition by the government has led to violent unrest in some parts of India.

Political Challenges: Interstate inequalities have increased in the post-1991 period. As the Central government's role in funding the State governments became less, the States needed to attract private investment. Some States have turned themselves a hub for foreign investment and some could not. This has resulted in the uneven development of States.

Union-State Relations: With more states in India coming under the influence of regional parties, the Union-State relations have suffered a setback. Earlier, the party in the centre and most of the states were same now the parties ruling the states are different and the regional parties are asking for more state autonomy and a greater role for the Inter-State council. They are also asking for more sharing of the finances from the centre (as the financial relations of the State are limited).

Challenges in Economy: Deaton and Dreze point out that the number of Indians living at less than a dollar a day has come down, even though there is a substantial debate about the extent of decline in the poverty rate. According to one widely quoted estimate, between 1993/94 and 1999/2000, the number of Indians living at less than a dollar a day came down from 36 percent to 26 percent. This means that India has about 270 million absolutely poor people when the figure for China is about 110 million.

Human development in areas such as primary education and health leave a lot to be desired. The result is that even though there has been a decline in the number of people below the poverty

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